

MODULE 7

THE BUSINESS PLAN

OVERVIEW:

The company overview is the part of your business plan that gives the basics and background of your business. It's the foundation on which you will build the rest of your business plan.

A company overview provides the reader of your business plan with basic background information about your company so they have an understanding of what you do, who the management team is, and what customers your business serves.

The company description is the second piece of a business plan, falling right after the executive summary. Similar to the executive summary, your company overview will be short and succinct. Your reader needs to have a grasp on what your business does and who your customers are, even if they have limited time.

LEARNING OUTCOMES:

After successful completion of this module, you will be able to:

- A. Discuss the preparation of a business plan
- B. Identify the purpose of business plan
- C. Explain the different plan.
- d. List down the components of each part of the business plan

BUSINESS PLAN DEFINE

A business plan is a written document that describes in detail how a business — usually a startup — defines its objectives and how it is to go about achieving its goals. A business plan lays out a written roadmap for the firm from each of a marketing, financial, and operational standpoint.

OVERALL PURPOSE OF BUSINESS PLAN

1. Maintaining Business Focus. A business plan contains all of your product information, manpower and financial estimates and your plans for the future. As you look to grow your business, you should refer to your business plan, according to the Small Business Administration.

2. Securing Outside Financing. As you start your business, and even as your business moves along, you will constantly need to concern yourself with financing your business. Financing concerns begin with the start-up costs and then continue with business expansion and new product development.

3. Fueling Ambitions and Mapping Growth. Starting your own business can seem like a daunting task if you have never done it before. When you break down your business into a business plan, it can motivate you because it presents the business in an organized fashion, according to the University of Colorado. Following a business plan can help you to map out the growth of your company and give you confidence when you need it.

4. Enlightening Executive Talent. As your business grows, you will need to consider adding executives to your team that can help move your company in the right direction. A business plan will help executive talent see your business vision and determine whether or not your company is a worthwhile investment of time and resources.

THE PARTS OF THE PLAN

Here are the key pieces to a solid Business Plan.

Title page or Cover page

The title, or heading, of the plan, and very brief description of the business.

The date

The name of the owner

The company name and location

A copyright or confidentiality notice

Table of Contents

A list of the individual sections and their page numbers, starting with the Title Page and ending with a section for Special Materials (references, etc.).

Executive Summary/Overview

A brief, but focused statement (a few sentences or paragraphs) stating why the business will be successful. This is the most important piece of a Business Plan because it brings everything together.

Background of the study: History, Current conditions, the concept, over all Objectives, Specific objectives.

Description/ Definition of the Company

A close look at how the different components of the business fit together, such as:

- Nature of business
- Products and services offered by the company
- Nature of the Industry
- Opportunities available that can be exploited by services and products to be offered
- The rationale for the creation of the company '=
- The rationale for the catering to a specific Market

Information about the nature of the business and the factors that should make Successful.

Special business skills and talents that provide the business with a competitive advantage, such as a unique ability to satisfy specific customer needs, special methods of delivering a product or service, and so on.

Market Analysis/ Market Research

Identifies specific knowledge about the business and its industry, and the market (or customers) it serves. An analysis that identifies and assesses the competition. Overall Market, competitive Factors, other market influences, marketing orientation, market strategy and contingency plans.

1. Situational analysis and target markets;
2. Marketing objectives and goals
3. Marketing strategies
4. Marketing tactics
5. Schedule and budgets
6. Financial data and control

- **Situational analysis** is a detailed description of the environment or the company and the product, product line, or services at the time the plan will be initiated and implemented.
- **Marketing objective** must be stated. To attain the objective, a goal or goals must be established like being able to sell to a certain area or group of establishments.
- **Strategies** refer to the actions taken to reach the goals and objectives. An example of a strategy is direct marketing.
- **Marketing tactics** refer to how strategy will be carried out. An example is recruiting sales agents.
- **A marketing plan schedule** must be prepared showing in detail every marketing activity and how much money must be allotted.
- **Financial date section** must contain the following:
 - Sales estimates on a monthly basis
 - Cash flow requirement

Development and Production plan

This portion of the business plan will show how the proposed products will be developed before it is finally scheduled for production. A description of additional work needed or any other activity must be provided.

Manufacturing Plan

The quantity and quality of the company's product or service as described in the marketing plan will be produced through a well-conceived manufacturing plan. This aspect constitutes an important portion of the business plan. The manufacturing plan includes a description of the following: manufacturing facilities, location, size, rentals, purchases, required equipment, equipment costs, labor requirements and costs, inventory requirements and control, and others.

Distribution and service plan

The distribution and service plan provides the steps required to effectively bring the product or service to the market. Pricing, sales, service policies, market penetration, and timing

are indicated. Also included are specific statement about when anticipated events are to take place, and the assignments of specific responsibilities individual.

A detailed description of the product or service – from the customer's point of view:

- How they will benefit from the product or service?
- Specific needs or problems that the business can satisfy or solve, focusing especially on areas where the business has the strongest skills or advantages

Organization Plan

The organizational plan indicates how the total job is broken down into man-size jobs which are provided with specific job titles. Each job title comes with a description of specific duties, and to whom the person assigned to the job will report. However, in writing the organizational plan as a part of the business plan, only the description of the exact duties and responsibilities of each of the key members of management team must be provided. The functions must be matched with the qualifications of the person assigned to do a specific job. In this regard, the qualification of the management team must be described.

Development Schedule

This portion of the business plan will provide information on the series of activities required to make the business idea a fully operational undertaking. Each stage must indicate the amount of time required for completion. The use of a Chart will depict the stages in the schedule.

Financial plan

The financial plan is a document indicating the financing requirements necessary to support a given set of plans in other areas." Its main components are the projected income statement and balance sheet, supported by a cash budget, personal budget, production budget, purchasing budget, and break-even analysis. The projected income statement is a forecast of all items in the income statement of the firm for a given period. The cash budget is a projection of future each receipts and cash disbursement of the firm over various intervals of time.

Explains or projects how the company is expected to perform financially over the next several years. (Sometimes called a "pro-forma projection.") Because investors and lenders look closely at this projection as a measure of your company's growth potential, professional input is strongly recommended.

Funding

- The amount of current and future funding needed to start or expand the business.
Includes the time period that each amount will cover, the type of funding for each (i.e., equity, debt), and the proposed or requested repayment terms.
 - How the funds will be used: For equipment and materials? Everyday working capital? Paying off debt?
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Appendix

Provides specific information that certain individuals (such as creditors) may want review. It allows the addition and/or deletion of information as needed, such as:

- Credit histories (personal & business)
- Resumes of key personnel and partners
- Letters of reference
- Details of market studies
- Copies of licenses, permits, patents, leases, contracts, etc.
- A list of business consultants, attorneys, accountants, etc.



READ:

Azarcon, Areola, Arguelles, Pablo-Barlis et al. Entrepreneurship Principles and Practices. First Edition. 2005, Valencia Educational Supply.

Carson, David. Marketing and Entrepreneurship in SME's: An innovative Approach First Edition. 2002. Pearson Education.

Lambing, Peggy A.: Entrepreneurship. Third Edition, 2002. Prentice Hall.

Medina, Roberto G. Entrepreneurship in Small Business Management. First Edition. 1996. Rex Printing Company. Inc.

Vaughn, Donald E. Financial Planning for the Entrepreneur. First Edition. 1997. Prentice Hill.

Activity Assessment:

Create a Simple Structure of a Business Plan (*based on module 7*)

Instructions:

1. Think of a simple business idea (technology-related, agricultural business, food business, online shop, service business, etc.).
2. Create a brief but complete explanation in every section.
3. Submit in a pdf file.

Parts of the Business Plan

1. Cover Page

- Business Name
- Logo
- Subject
- Date Submitted

2. Executive Summary

Write a short overview of the business.
Include:

- Type of business
- Main product/service
- Target customers
- Purpose of the business

(1 paragraph only)

3. Description of the Business

Answer the following:

- What is the nature of the business?
- What products or services are offered?
- What makes the business unique?

4. Market Analysis

Describe:

- Target customers
 - Possible competitors
 - Market demand
 - Marketing strategy
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5. Production / Operations Plan

Explain:

- How the product/service will be created or delivered
- Materials/equipment needed
- Daily business operations

6. Organizational Plan

Create a simple organizational structure.

Include:

- Owner/Manager
- Employees or Members
- Duties and Responsibilities

7. Financial Plan

Provide simple estimated computations:

- Estimated Capital
- Estimated Expenses
- Estimated Sales/Income
- Estimated Profit

8. Conclusion

Write a short conclusion about:

- Why the business can become successful
 - Benefits of the business to customers or community
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